

Classic Motor Market LLC

Founders Operating Agreement

This Operating Agreement ("Agreement") governs Classic Motor Market LLC, a Colorado limited liability company (the "Company").

Founders:

- Atreyu Sutton
- Brian Hughes
- Michael Burroughs

Each is referred to as a "Member."

Definitions

The following terms shall have the meanings set forth below throughout this Agreement:

"Founder" — A historical and contribution-based designation recognizing an individual who participated in the creation, initial development, and launch of the Company. Founder status is permanent and does not, by itself, confer ongoing governance authority or economic rights. All Founders are identified by name in this Agreement.

"Member" — An individual or entity holding a membership interest in the Company. Member status confers ownership and economic rights, including the right to receive allocations of profits and losses and distributions from the Company, as well as voting rights as specified herein. A Member's rights and obligations are governed by this Agreement and applicable Colorado law.

"Manager" — An individual designated to exercise governance and decision-making authority on behalf of the Company. Managers are responsible for the day-to-day management and strategic direction of the Company, subject to the voting and approval requirements set forth in this Agreement.

Note: These definitions are to be incorporated into the Company's LLC statutes upon finalization of this Operating Agreement.

1. Purpose

The Company operates a curated online marketplace for enthusiast vehicles, initially focused on classic European automobiles.

The Company may engage in any lawful business approved by the Members.

2. Ownership

Each Founder owns **33.33%** of the Company.

- No super-voting rights
- No preferred equity
- Single class of membership interests unless amended unanimously

3. Governance

Managers

The Founders shall serve as the initial Managers of the Company.

Voting

Majority Approval (2 of 3 Managers)

The following actions require majority approval:

- Budget approval
- Vendor and service contracts
- Hiring and termination of employees or contractors
- Pricing decisions
- Product direction and roadmap
- Marketing strategy
- Ordinary operational matters

Unanimous Approval

The following actions require unanimous written consent:

- Issuing new equity or membership units
- Admitting new Members
- Taking outside investment
- Selling all or substantially all of the Company
- Mergers, reorganizations, or dissolution
- Removal of a Founder as Manager
- Capital calls
- Incurring debt above a mutually agreed threshold
- Amendments to this Agreement

No new equity shall be issued at a valuation materially below the most recent Company valuation without unanimous written consent of the Members.

4. Roles and Responsibilities

Each Founder agrees to actively contribute to the growth and success of the Company and to perform the responsibilities outlined below. Failure to materially fulfill these obligations may constitute a default under this Agreement.

**Atreyu Sutton — Platform Development,
Infrastructure, Security, and Product Implementation**

Primary responsibilities include:

- Designing, building, and maintaining the marketplace platform
- Managing infrastructure, hosting, security, and data protection
- Overseeing technical architecture and scalability
- Implementing product features aligned with Company strategy
- Managing third-party technical vendors
- Ensuring continuity of the platform and technical documentation

Michael Burroughs — Operations, Partnerships, Marketing, and Community

Primary responsibilities include:

- Daily business and financial functions
- Developing strategic partnerships
- Sales and member growth
- Marketing strategy and direction
- Leveraging industry relationships to source high-quality listings
- Promoting the Company within enthusiast communities
- New product features and development pipeline including user stories and functionality

Brian Hughes — Brand, Design, and Strategy Development.

Primary responsibilities include:

- Community engagement and cultural development
- CMM market Development
- New product features and development including design direction
- Sales and member growth
- Developing strategic partnerships
- Advertising and marketing design

Shared Founder Responsibilities

All Founders agree to:

- Act in good faith and in the best interests of the Company
- Devote sufficient professional time and attention to Company needs
- Participate in major decisions
- Maintain professionalism in representing the Company
- Avoid conduct that could materially harm the Company's reputation
- Communicate transparently regarding availability, risks, and challenges
- Collaboratively guide the design, user experience, and overall look and feel of the platform to ensure a high-quality and cohesive brand presence

Each Founder agrees to present to the Company any business opportunity reasonably related to the Company's marketplace before pursuing such opportunity individually.

Performance shall be evaluated based on reasonable execution of responsibilities rather than strict hourly commitments.

5. Capital Contributions

Each Founder shall make an initial capital contribution of **\$1,000**.

No additional capital contributions shall be required without unanimous approval.

Spending Authority:

- Up to \$500 per individual expense without approval
- Expenses exceeding \$500 require majority approval

6. Profits, Losses, and Distributions

Profits and losses shall be allocated to Members in proportion to their ownership interests.

The Company may retain earnings for operational needs, growth, and strategic initiatives.

Tax Distributions

Because the Company is expected to be taxed as a pass-through entity, the Company shall distribute sufficient cash for Members to reasonably cover their tax liabilities attributable to Company income.

7. Drag-Along Rights

If Members approve a sale of the Company in accordance with the voting provisions of this Agreement, all Members agree to participate in the transaction on the same terms and conditions. No Member may block an approved sale.

8. Transfer Restrictions

No Member may sell, assign, pledge, or otherwise transfer any ownership interest unless:

1. The Company is first offered a right of first refusal; and
2. If declined, the remaining Members are offered a secondary right of first refusal.

Any prohibited transfer shall be void.

9. Valuation of Interests

Any repurchase of Membership Interests shall be determined using fair market value established by an independent third-party appraiser mutually selected by the parties. The appraiser's determination shall be final and binding.

10. Founder Vesting, Departure, and Default

Reverse Vesting Structure

Founder equity shall be subject to a **2.5-year reverse vesting schedule** beginning on the effective date of this Agreement.

- If a Founder voluntarily departs or ceases to materially contribute within the first 2.5 years, **50% of that Founder's equity shall automatically be forfeited and returned to the Company.**
- After 2.5 years, all Founder equity shall be fully vested and no longer subject to forfeiture based solely on tenure.

The Members acknowledge that early departure materially harms the Company and agree that forfeiture is a reasonable and necessary protection.

Review Provision

The remaining Members may, but are not obligated to, review the circumstances of an early departure and may waive some or all forfeiture by unanimous consent if they determine such departure qualifies as a Good Leaver event. Absent such unanimous waiver, forfeiture shall apply.

Good Leaver

A "Good Leaver" includes departure due to:

- Health reasons
- Family relocation
- Mutual agreement
- Role redundancy
- Other circumstances approved by the remaining Members

The Company or remaining Members may repurchase vested equity at fair market value.

Bad Leaver

A "Bad Leaver" is a Founder who:

- Commits fraud, theft, or dishonesty
- Misuses Company intellectual property
- Engages in criminal conduct affecting the Company
- Materially breaches this Agreement
- Abandons responsibilities without reasonable notice
- Repeatedly fails to perform core duties after written notice and a reasonable opportunity to cure
- Violates fiduciary duties

Bad Leaver equity may be repurchased at the lower of:

- Original purchase price, or
- Fair market value minus a commercially reasonable discount (typically 25–50%).

Defaulting Founder

A Founder shall be considered in default if they:

- Fail to materially perform the responsibilities associated with their role
- Become unresponsive for a sustained period without explanation
- Fail to participate in critical Company decisions
- Refuse to execute agreed-upon strategic initiatives
- Cause material reputational harm to the Company
- Misappropriate Company opportunities for personal gain
- Fail to make required capital contributions once approved

Default Process

1. Written notice describing the default
2. Thirty (30) days to cure the issue, if curable
3. If unresolved, a majority vote of the non-defaulting Founders may determine status
4. The defaulting Founder may submit the matter to mediation before any forced equity repurchase

Default alone does not automatically trigger Bad Leaver status unless the behavior rises to that level.

11. Intellectual Property

Company-Owned IP

The Company owns all intellectual property created specifically for the Company, including:

- Brand assets, trademarks, and domains
- The Classic Motor Market platform
- Production codebases
- Customer and marketplace data
- Proprietary workflows and tooling

Founder-Retained IP

Each Founder retains ownership of:

- Pre-existing intellectual property
- General-purpose code libraries and frameworks
- Development patterns and reusable components
- Skills, experience, and know-how

Use of a Founder's background IP does not transfer ownership to the Company.

"CMM customer" is defined as the database of members signed up for the service. Think of it as the database of users sold as part of a transaction to sell CMM. Brian and I will leverage our contacts to grow the business, but those lists will not be owned by CMM.

Each Founder agrees to execute any documents reasonably necessary to confirm the Company's ownership of Company intellectual property.

Rebuild Provision

A departing Founder may build a new product from scratch, including within adjacent industries, provided that the Founder does not:

- Copy Company source code
- Use confidential information or customer data
- Replicate the platform in a materially identical manner

Concepts and general ideas are not owned; proprietary implementation is.

12. Non-Competition and Non-Solicitation

During Membership

While actively a Member, no Founder shall operate or control a substantially similar paid vehicle marketplace targeting the same enthusiast segment as the Company.

This restriction does not prohibit Members from:

- Working in automotive software
- Building technology companies
- Operating in aviation, marine, or mobility sectors
- Investing in other businesses that are not direct competitors

Customer and Vendor Non-Solicitation

For one (1) year following departure, no Member shall knowingly solicit the Company's customers, vendors, or employees for a directly competing marketplace.

13. Confidentiality

Members shall maintain the confidentiality of all non-public Company information, including:

- Financial data
- Customer lists
- Vendor agreements
- Product roadmap

- Technical architecture

These obligations survive termination of membership.

14. Death or Disability

Upon the death or permanent disability of a Member:

- The Company shall have the option to repurchase the Member's interest; and
- Heirs shall receive economic rights only unless approved as substituted Members by unanimous consent.

15. Deadlock Resolution

If the Members reach a material deadlock that cannot be resolved internally, the following process shall apply:

1. Good-faith negotiation
2. Mediation with a mutually selected mediator
3. Binding arbitration in Colorado

The Members may adopt a buy-sell mechanism if deemed appropriate in the future.

16. Limitation of Liability

No Member shall be personally liable for the debts or obligations of the Company beyond their capital contributions, except as required by law.

17. Indemnification

The Company shall indemnify any Member or Manager who acts in good faith and in a manner reasonably believed to be in the best interests of the Company.

18. Partnership Representative

The Company shall designate a Partnership Representative responsible for tax matters and authorized to act on behalf of the Company in dealings with taxing authorities.

19. Insurance

Once financially reasonable, the Company shall maintain Directors and Officers (D&O) liability insurance to protect the Members and Managers from personal liability arising from Company activities.

20. Manager Removal Protection

A Founder may only be removed as a Manager **for Cause** upon unanimous approval of the non-impacted Founders.

"Cause" shall be strictly limited to the following:

- Fraud
- Criminal conduct
- Willful misconduct
- Material breach of this Agreement
- Misappropriation of Company assets or intellectual property

Removal of a Founder without Cause is expressly prohibited.

If a Founder is removed for Cause, the Company may pursue all remedies available under the Bad Leaver provisions of this Agreement.

21. Amendments

This Agreement may only be amended by unanimous written consent of the Members.

22. Livelihood Protection

Nothing in this Agreement is intended to unreasonably restrict any Member's ability to earn a livelihood or engage in their profession, except as narrowly required to protect the legitimate business interests of the Company.

23. Interim Agreement Acknowledgment

By signing this document, the Members acknowledge and agree that this Agreement captures the essential terms and principles agreed upon by the Founders. However, the Members further agree that no commercial operations shall commence (i.e., the Company shall not "go live") until a formal, attorney-drafted Operating Agreement has been executed by all Members. That final agreement shall govern for all legal and tax purposes. This document shall serve as a statement of intent and mutual understanding pending finalization of the attorney-drafted agreement.

Signatures

Atreyu Sutton _____ Date _____

Brian Hughes _____ Date _____

Michael Burroughs _____ **Date** _____